INTRODUCTION

Alternative Investments are grouped together not because they have similar features but instead because they have characteristics distinct from traditional investments. Investing in alternatives can be done through fund investing, co-investing, or direct investing. Alternative investments typically offer investors greater diversification and higher expected returns than traditional investments but often involve longer-term, illiquid investments in less efficient markets. Investing in alternatives requires specialized knowledge. Alternative investments typically rely on more complex and richer compensation structures than traditional investments in order to better align manager and investor incentives over longer periods.

Category

Alternative Investment Features, Methods, and Structures

Learning Module Overview

- Alternative investments are investments other than ownership of traditional asset classes (public equity and fixed-income instruments and cash) and include private capital, real assets, and hedge funds.
- Private capital includes private equity and private debt. Real assets include real estate, infrastructure, and natural resources. Hedge funds may invest across both traditional and alternative asset classes and are distinguished by their investment approach, which often includes leverage, derivatives, or other strategies.
- Investors often consider alternative investments in pursuit of greater portfolio diversification and/or increased expected returns. In doing so, they usually face longer investment periods, reduced liquidity, and less efficient markets than for more traditional assets.
- Alternative investment fund investors fully outsource the control and management of investments in exchange for relatively high fees, while co-investment and direct investment methods involve greater investor effort and control over the selection and management of assets in exchange for relatively lower fees.
- Another common type of alternative investment structure is a limited partnership in which responsibilities are flexibly allocated between investors and managers—with managers as general partners and investors as limited partners. Limited partnerships usually have more complex compensation structures, which include both management and performance fees.
- Additional alternative investment structures include trusts and limited liability companies.

Learning Module Self-Assessment

1. Identify which of the following choices is *most likely* an alternative investment:

A. An investment in a hedge fund focused on traditional assets
B. Shares in a manufacturing firm traded on the Bursa Malaysia exchange
C. A euro foreign exchange future purchased on the Chicago Mercantile exchange

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Solution:

investment. B is incorrect because shares traded on a public exchange, such as the Bursa Malaysia exchange, are considered traditional, not alternative, investments. C is incorrect because a euro foreign exchange future purchased on a public exchange, such as the Chicago Mercantile exchange, is considered a traditional, not an alternative, investment.

2. An advantage of investing in alternative investments *most likely* is:

A. high liquidity.
B. low investment fees.
C. higher expected returns.

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Solution:

The correct answer is C. Investors are often attracted to alternative investments seeking greater diversification and/or higher expected returns. A is incorrect because investors usually face longer investment periods, reduced liquidity, and less efficient markets with alternative investments than with more traditional assets. B is incorrect because alternative investments often carry higher fees, including performance and/or incentive fees.

3. Investors with limited experience *most likely* enter into alternative investments through:

A. co-investing.
B. fund investing.
C. direct investing.

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Solution:

The correct answer is B. Investors with limited resources and/or experience generally enter into alternative investments through fund investing, where the investor contributes capital to a fund and the fund identifies, selects, and makes investments on the investor's behalf. A is incorrect because co-investing is more appropriate for investors who already have some experience investing in funds; in co-investing, the investor invests in assets indirectly through the fund but also possesses rights (known as co-investment rights) to invest directly in the same assets. C is incorrect because direct investing, which occurs when an investor makes a direct investment in an asset without the use of an intermediary, is typically reserved for larger and more sophisticated investors.

4. When an investor invests in an asset without the use of an intermediary, it is called:

A. co-investing.
B. fund investing.
C. direct investing.

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Solution:

The correct answer is C. In direct investing, an investor makes a direct investment in an asset without the use of an intermediary. A is incorrect because in co-investing, an investor invests in assets indirectly through a fund but also possesses rights (known as co-investment rights) to invest directly in the same assets. B is incorrect because for fund investing, an investor contributes capital to a fund and the fund, not the investor, identifies, selects, and makes investments on the investor's behalf.

5. Which statement regarding alternative investment partnership structures is *most* accurate?

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C. Investors' upfront cash outflow can be a small portion of their total commitment to the partnership.

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Solution:

The correct answer is C. Limited partners (LPs) are outside investors who own a fractional interest in the partnership based on the amount of their initial investment and the terms set out in the partnership documentation. LPs commit to future investments, and their upfront cash outflow can be a small portion of their total commitment to the fund. A is incorrect because the fund manager is the fund's general partner (GP) who runs the business and theoretically bears unlimited liability for anything that goes wrong. B is incorrect because the fund manager is the fund's general partner, not a limited partner, and the investors are the limited partners.

6. After failing to meet the hurdle rate, which of the following would a general partner still *most likely* receive as compensation?

A. Carried interest
B. Management fee
C. Committed capital

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Solution:

The correct answer is B. Alternative investment funds are usually structured with a management fee typically ranging from 1% to 2% of assets under management (e.g., for hedge funds) or 1% to 2% of committed capital (e.g., for private equity funds). (Committed capital is the total amount of money that the limited partners have committed to the fund's future investments.) A performance fee (also referred to as an incentive fee, carried interest, or carry) is applied based on excess returns. The partnership agreement usually specifies that the performance fee is earned only after the fund achieves a return known as a "hurdle rate." The hurdle rate is a minimum rate of return that the general partner must exceed in order to earn the performance fee. A is incorrect because "carried interest" is another name for a performance fee, which is earned only after the fund achieves its hurdle rate. C is incorrect because committed capital is the total amount of money that the limited partners have committed to the fund's future investments, not a fee to the general partner.

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